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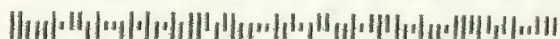
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In the shadow of giants

A special report on the world's most powerful companies

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The rise of the superstars

A small group of giant companies—some old, some new—are once again dominating the global economy, says Adrian Wooldridge. Is that a good or a bad thing?

ON AUGUST 31ST 1910 Theodore Roosevelt delivered a fiery speech in Osawatimie, Kansas. The former president celebrated America's extraordinary new commercial power but also gave warning that America's industrial economy had been taken over by a handful of corporate giants that were generating unparalleled wealth for a small number of people and exercising growing control over American politics. Roosevelt cautioned that a country founded on the principle of equality of opportunity was in danger of becoming a land of corporate privilege, and pledged to do whatever he could to bring the new giants under control.

Roosevelt's speech sounds as fresh today as on the day he made it. A small number of giant companies are once again on the march, tightening their grip on global markets, merging with each other to get even bigger, and enjoying vast profits. As a proportion of GDP, American corporate profits are higher than they have been at any time since 1929. Apple, Google, Amazon and their peers dominate today's economy just as surely as US Steel, Standard Oil and Sears, Roebuck and Company dominated the economy of Roosevelt's day. Some of these modern giants are long-established stars that have reinvented themselves many times over. Some are brash newcomers from the emerging world. Some are high-tech wizards that are conjuring business empires out of noughts and ones. But all of them have learned how to combine the advantages of size with the virtues of entrepreneurialism. They are pulling ahead of their rivals in one area after another and building up powerful defences against competition, including enormous cash piles equivalent to 10% of GDP in America and as much as 47% in Japan.

In the 1980s and 1990s management gurus pointed to the "demise of size" as big companies seemed to be giving way to a much more entrepreneurial economy. Giants such as AT&T were broken up and state-owned firms were privatised. High-tech companies emerged from nowhere. Peter Drucker, a veteran management thinker, announced that "the *Fortune* 500 [list of the biggest American companies] is over." That chimed with the ideas of Ronald Coase, an academic who had argued in "The Nature of the Firm" (1937) that companies make sense only when they can pro-

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►vide the services concerned more cheaply than the market can.

But now size seems to matter again. The McKinsey Global Institute, the consultancy's research arm, calculates that 10% of the world's public companies generate 80% of all profits. Firms with more than \$1 billion in annual revenue account for nearly 60% of total global revenues and 65% of market capitalisation.

The quest for size is producing a global bull market in mergers and acquisitions. In 1990 there were 11,500 M&A deals with a combined value equivalent to 2% of global GDP. In the years since 2008 the number has risen to 30,000 a year, worth about 3% of global GDP. America's antitrust authorities have recently given Anheuser-Busch InBev, one of the world's biggest drinks companies, the all-clear to buy SABMiller, another global drinks firm, for \$107 billion.

The superstar effect is most visible in America, the world's most advanced economy. The share of nominal GDP generated by the *Fortune* 100 biggest American companies rose from about 33% of GDP in 1994 to 46% in 2013, and the *Fortune* 100's share of the revenues generated by the *Fortune* 500 went up from 57% to 63% over the same period. The number of listed companies in America nearly halved between 1997 and 2013, from 6,797 to 3,485, according to Gustavo Grullon of Rice University and two colleagues, reflecting the trend towards consolidation and growing size. Sales by the median listed public company are almost three times as big as they were 20 years ago. Profit margins have increased in direct proportion to the concentration of the market.

Startups, meanwhile, have found it harder to get off the ground. Robert Litan, of the Council on Foreign Relations, and ►►

What goes around

America's corporate world alternates between competition and consolidation

ALFRED CHANDLER, AMERICA'S leading business historian, once summed up the history of American business after the civil war as "ten years of competition and 90 years of oligopoly". American business history has been defined by periods of intense competition followed by long periods of consolidation. The digital revolution is likely to repeat that pattern, but on a global scale.

The decades after the civil war saw bursts of intense competition in America's two leading industries, oil refining and steelmaking, in which the robber barons quickly built up giant companies. Economies of scale and technological innovation caused productivity to rise and prices to fall, allowing the robber barons to present consolidation as the friend of the common man.

The same thing happened in retailing and consumer products as a handful of companies established a lead over less agile competitors. Sears, Roebuck and Company set up a giant mail-order operation in Chicago that crushed smaller rivals, as did Procter & Gamble, Heinz, Philip Morris, Ford and General Motors as they worked to become national brands. The first Dow Jones Industrial Average index in 1896 included 12 leaders of the emerging industrial economy. Ten years later two-thirds of the names had changed. Another 20 years on, the list had begun to settle down and the same names appeared again and again.

J.P. Morgan, America's most powerful banker, increased the pace of consolidation by buying Carnegie Steel from Andrew Carnegie, combining it with dozens of smaller steel firms he already owned and selling the resulting company to the public at a valuation of \$1.4 billion, a vast sum at the time. Naomi Lamoreaux, of Yale University, studied 93 such consolidations between 1895 and



1904 in detail and found that 72 of them created companies that controlled at least 40% of their industries, with 42 controlling at least 70%. These 42 included General Electric and American Tobacco, each of which dominated 90% of its respective market. The people who controlled these giant companies accumulated money and power on an unprecedented scale. The Senate was so full of them and their placemen that it was known as "the millionaires' club".

Americans grew uneasy as their faith in business clashed with their faith in equality of opportunity. The Sherman Act of 1890 tried to tackle monopolies. The 16th amendment to the American constitution introduced an income tax and the 17th decreed that US senators should be elected by popular vote, not by local legislatures.

But the backlash remained relatively mild. Periods of anti-corporate sentiment such as the 1910s and 1930s were invariably followed by periods of pro-corporate policies such as the 1920s and 1950s. And whichever

way the wind blew, big companies showed a genius for turning federal regulations into barriers to entry. By 1930 most big companies were run by professional managers and owned by small shareholders. In the 1950s the giant corporations formed half a century earlier consolidated their position. Every industry was dominated by a small group of companies, such as Ford, General Motors and Chrysler in cars and General Electric and Westinghouse in electrical goods, all of which had a close relationship with government. In the 1980s deregulation and globalisation helped unpick corporate America. But the digital revolution seems likely to bring another about-turn.

Like the robber barons, the captains of new technology are replacing a freewheeling culture with the rule of a handful of corporations. They dominate a growing share of their respective industries. Google controls 69% of the world's search activity; Google and Apple between them provide the operating systems of 90% of smartphones. They both grab market share by cutting prices and eliminating competitors, often buying them.

Tech titans such as Mark Zuckerberg, Sergey Brin and Larry Page are expanding into more and more industries as technology transforms everything that it touches. Just as General Electric diversified into everything electrical, so Google is diversifying into everything to do with information.

Yet there are also striking differences between the big companies of yesterday and today. Today's giants have fewer assets and fewer roots in local society. They are also much more global. In the second Industrial Revolution politicians used the power of national governments to tame their corporations. Taming highly agile global corporations is much more difficult.

► Ian Hathaway, of the Brookings Institution, note that the number of startups is lower than at any time since the late 1970s, and that more companies die than are born, pushing up their average age. American workers are also chasing jobs and moving across state borders less often than at any time since the 1970s.

Competition is for losers

The superstar effect is particularly marked in the knowledge economy. In Silicon Valley a handful of giants are enjoying market shares and profit margins not seen since the robber barons in the late 19th century. "Competition is for losers," says Peter Thiel, a co-founder of PayPal, a payments system, and the first outside investor in Facebook. C Wall Street the five largest banks have increased their share of America's banking assets from 25% in 2000 to 45% today.

The picture in other rich countries is more varied. Whereas in Britain and South Korea the sale of consolidation has been similar to that in America, in continental Europe it has been much less pronounced. In a list of the world's top 100 companies by market capitalisation compiled by PwC, an accountancy firm, the number of continental European firms has declined from 19 in 2009 to 17 now. Still, in most other world some consolidation is the rule. The OECD, a club of mostly rich countries, notes that firms with more than 250 employees account for the biggest share of value added in every country it monitors.

There are good reasons for thinking that the superstar effect will gather strength. Big and powerful companies force their rivals to bulk up in order to compete with them. They also oblige large numbers of lawyers, consultants and other professional-services firms to become global to supply their needs. Digitisation reinforces the trend because digital companies can exploit network effects and operate across borders.

James Manyika, of the McKinsey Global Institute, points out that today's superstar companies are big in different ways from their predecessors. In the old days companies with large revenues and global footprints almost always had lots of assets and employees. Some superstar companies, such as Walmart and Exxon, still do. But digital companies with huge market valuations and market shares typically have few assets. In 1990 the top three carmakers in Detroit between them had nominal revenues of \$250 billion, a market capitalisation of \$36 billion and 1.2m employees. In 2014 the top three companies in Silicon Valley had revenues of \$247 billion and a market capitalisation of over \$1 trillion but just 137,000 employees.

Yet even "old" big companies employ far fewer people than they used to. Exxon, the world's most successful oil company, has cut back its workforce from 150,000 in the 1960s to less than half that today, despite having merged with a giant rival, Mobil. At the same time "new" big companies are becoming more like the corporations of yore. High-tech companies often give senior jobs to former Washington insiders and employ armies of lobbyists. Many modern superstar companies park their money in offshore hideaways and devote considerable efforts to keeping down their tax bills. Superstar companies tend to excel at everything they do—including squeezing as much as they can out of government while paying the lowest possible taxes.

This special report will explain why the age of entrepreneurialism, ushered in by Britain's Margaret Thatcher and America's Ronald Reagan, is giving way to an age of corporate consolidation even as most companies are becoming more virtual. It will examine the forces behind the rise of the superstars and reveal their managerial secrets. And it will attempt to answer the question that Roosevelt raised in Osawatimie: are such corporate giants a cause for concern or for celebration? ■

Driving forces

Why giants thrive

The power of technology, globalisation and regulation

ACROSS NORTHERN CALIFORNIA the world's best-known tech companies are engaged in a construction contest. Facebook got off to an early start with a building of 430,000 square feet (40,000 square metres) that looks like a giant warehouse. It is said to be the largest open-plan office building in the world. Google is hard at work on a new headquarters to replace its Googleplex: a collection of movable glass buildings that can expand or contract as business requires. Samsung and Uber, too, are in construction mode. But the most ambitious builder is Apple, which is spending \$5 billion on something that looks like a giant spaceship.

Silicon Valley is a very different place from what it was in the 1990s. Back then it was seen as the breeding ground of a new kind of capitalism—open-ended and freewheeling—and a new kind of business organisation—small, nimble and fluid. Companies popped up to solve specific problems and then disappeared. Nomadic professionals hopped from one company to another, knowing that their value lay in their skills rather than their willingness to wear the company collar. Today the valley has been thoroughly corporatised: a handful of winner-takes-most companies have taken over the world's most vibrant innovation centre, while the region's (admittedly numerous) startups compete to provide the big league with services or, if they are lucky, with their next acquisition.

Tech aristocracy

The most successful tech companies have achieved massive scale in just a couple of decades. Google processes 4 billion searches a day. The number of people who go on Facebook every month is much larger than the population of China. These companies have translated vast scale into market dominance and soaring revenues. The infrastructure of the information economy is increasingly controlled by a handful of companies: Ama- ►

